

What is "Lead Time" in an inventory system?

- A) Time between sales
 - B) Time between placement and receipt of an order
 - C) Time between reviews
 - D) Time between shortages
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What is the primary performance measure of an inventory system?

- A) Number of orders
 - B) Total cost or total profit
 - C) Lead time duration
 - D) Random digit assignment
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What is the role of random-digit assignments in simulation?

- A) To set inventory levels
 - B) To determine demand and lead time
 - C) To calculate total cost
 - D) To define review periods
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In the inventory simulation table, what happens on a review day?

- A) Demand is recorded
 - B) Shortage is declared
 - C) An order is placed
 - D) Lead time starts
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What is the effect of zero lead time?

- A) Orders are delayed
 - B) Immediate delivery
 - C) Shortages increase
 - D) Review period changes
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What does the average ending inventory indicate?

- A) Typical stock level
- B) Number of orders
- C) Lead time duration

D) Total profit

What does the number of shortage days indicate?

- A) Order frequency
 - B) Service level
 - C) Review period length
 - D) Inventory cost
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What is the purpose of simulation in inventory systems?

- A) To eliminate shortages
 - B) To estimate performance measures
 - C) To set fixed lead times
 - D) To reduce random digits
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What happens if lead time is greater than zero?

- A) Orders arrive instantly
 - B) Review period increases
 - C) Order receipt is delayed
 - D) Demand decreases
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What does the length of the review cycle affect?

- A) Demand randomness
 - B) Lead time
 - C) Various costs
 - D) Random digits
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Why is simulation often run for many cycles?

- A) To reduce accuracy
 - B) To increase lead time
 - C) To obtain reliable estimates
 - D) To eliminate shortages
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What is the purpose of a graph in inventory simulation?

- A) To show random digits
- B) To visualize performance

- C) To calculate lead time
- D) To set review periods